

which, added to the bottom price of the V, gave a half-height target of 3.81. That matched the high price at H (early April, the letter is buried in the chart about midway in the rising wedge).

“I placed a stop below the extension [at 2.61] because I liked how it acted as support. Maybe it would do so again.” If you look at the chart, you'll see that it didn't support price during the drop in May (shown as a horizontal line at I, but did act as resistance at J).

Price climbed in a rising wedge-type move (the two up-sloping and converging lines). Jake didn't use the half-height target at H as a sell signal.

When price closed below the bottom trendline at F, he sold the stock at the next day's open and received a fill at 3.67 for a gain of 71 cents or 24%. If he'd sold at the half-height target, he could have made 29%. That's one of the reasons I suggest short-term traders use price targets as sell signals. Often you'll make more and reduce stress at the same time.

If he'd sold at the ultimate high, E (4.08), he could have made 38%.